

Micro Economics for Business

BBA — 1st Semester — 2024 — Answer Sheet
Subject Code: ECO203

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: $[10 \times 2 = 20]$

1. Write any two fundamental economic principles.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Demand is a flow of concept. Why?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Differentiate between cardinal and ordinal utility.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Why does TU increase at a decreasing rate when MU decreases?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Mention the features of monopoly market.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Define economic profit and accounting profit.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Let, $MRTS = 2$, compute the ratio of marginal productivities of two inputs.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Suppose, price of goods X decreases from Rs 20 per unit to Rs 16 per unit and quantity demanded of X increases from 100 units to 120 units, find the price elasticity of demand.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Find the equilibrium quantity of a firm having marginal revenue function $MR = 1200 - 25Q$ and marginal cost function $MC = 200 + 25Q$.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. If the production function is $Q = 50L^3K^2$ and 10 units of capital and 2 units of labour, find the output of a firm.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions:(Attempt any SIX Questions)[$6 \times 5 = 30$]

11. Describe the scope of business economics.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. How are the price and the output determined under monopolistic competition in long run? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. What is isoquant? Explain its properties.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. Describe the relationship between average cost and marginal cost.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. The demand function of a monopoly firm is $P = 200 - 2Q$ and the cost function is $C = Q^2 + 40Q + 2$. Find profit maximizing output and maximum profit.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. Explain the dominant strategy in game theory.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. Explain the causes of shift in supply curve of labour.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions:(Attempt any THREE Questions)[$3 \times 10 = 30$]

18. Define indifference curve. How does a consumer get equilibrium in indifference curve approach?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

19. What is microeconomics. Explain its uses in business operations.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

20. The short run total cost function is given below. $TC = 200 + 5Q - 0.04 Q^2 + 0.001 Q^3$. a. Calculate total fixed cost and average fixed cost at $Q = 10$. b. Derive functions for average variable cost, average cost, marginal cost. c. Compute the value of AVC, AC, TC and AVC at $Q = 10$.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

21. Read the following table and answer the questions:

Combination	A	B	C	D	E	F
Price (Rs)	100	200	300	400	500	600
Supply (in units)	1,000	2,000	3,000	4,000	5,000	6,000

a. Find out the elasticity of supply movement from B to D and D to B by proportional method. b. Find out the elasticity of supply from C to E and E to C by arc method.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive Answer / Case / Situation Analysis Questions: [20]

22. Read the following case carefully and answer the questions that follow: The prices of essential goods, including fruits and vegetables, have increased in the last seven days due to short supply of use commodities in the local market, as the loaded vehicles with the essential commodities have been unable to enter Nepal through India and other regions. Despite the continuous transportation protest in Terai since over a month, Terai farmers had not been able to sell their products in the market as a result the price of vegetables had gone significantly down. As the loaded vehicles were unable to enter Nepal since few days, the vegetable prices have raised in the domestic market. The price of potatoes has increased by Rs 20 per kg each to Rs 60 and Rs 45, respectively. Similarly, price of cauliflower has gone up by Rs 15 per kg to Rs 45 per kg the price of French bean, on the other hand, has raised Rs 25 per kg to Rs 60 per kg, as against Rs 45 per kg last week, according to whole sale market of Fruits and Vegetables, Kathmandu. As per the price list of whole sale market of Fruits and Vegetable, Kathmandu, prices of other vegetables and fruits have also increased heavily. The price rise, especially of potatoes and onions, is mainly due to uncertainty of import from India. Price of dry onions has soared by eye-watering Rs 50 per kg compared with Rs 105 per kg. Even the price of other vegetables that are produced within a country has raised due to low supply created by transportation protest, prices of pointed gourd (parwal) and balsam apple (barela) has increased by Rs 15 per kg each and their prices have been at Rs 60 and Rs 70 per kg. Likewise, price of fruits has increased substantively, price of pomegranate has increased by Rs 35 per kg to Rs 225 per kg. That of pineapple by Rs 15 per piece to Rs 110. Price of guava increased by Rs 22 per kg to Rs 57 per kg. Price of fresh fish has also sky-rocketed by Rs 100 per kg and is fixed Rs 315 per kg, compared to Rs 225 per kg on last week, demand of fish falls from 85000kg to 72000kg. Questions: a. Identify the causes for rising prices and explain them. b. What are the relevant factors that affect the demand for and supply of fruits and vegetables? c. Do you agree that rate of price fluctuation of fruits and vegetables are influenced by their elasticities? Give reasons. d. What types of price control measures that government can follow to maintain stable prices for fruits and vegetables?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.